Question #1 of 33

Question ID: 1675757

In the preparation of a research report, a CFA Institute member may emphasize certain matters, touch briefly on others, and omit some altogether:

A) provided that the analyst has a reasonable basis for his or her actions.

B) under no circumstances.

C) provided that the analyst both has a reasonable basis and is unconstrained by the mosaic theory.

Explanation

According to Standard V(B), the analyst must use reasonable judgment in identifying relevant factors when communicating with clients and prospects. The mosaic theory does not apply here.

(Module 20.7, LOS 20: V(B))

Question #2 of 33

Question ID: 1675754

Janet Coleman, CFA, is preparing a research report on Union Power and Light (Union). Due to deregulation, utility companies face increased competition. During the past year, three of the five utility companies in her region have cut their dividends by 50%, on average, to provide more internal funds for investment purposes. In a discussion with Union's chief executive officer, Coleman learned that Union expects to have a record amount of capital expenditures during the next year. Although Union subsequently issued a press release about its capital expenditure plans, it did not make any public statements about a change in dividend policy. Coleman reasons that the management of Union will be under pressure to cut its dividends within the next year to remain competitive. Coleman issues a research report in which she states the following:

"Union Power and Light will decrease its dividend from $2 to $1 a share by the second quarter. We expect that Union will strengthen its competitive position by using more internally generated funds to finance its investment opportunities. If investors buy the stock now at around $50 a share, their total return could exceed 20% on the stock."

Based on CFA Institute Standards of Professional Conduct, which of the following statements about Coleman's actions is *most accurate*?

A) Coleman violated the Standards because she used material inside information.

B) Coleman violated the Standards because she failed to separate opinion from fact in her research report.

C) Coleman did not violate the Standards.

Explanation

Coleman is required to distinguish between facts and opinions in her research reports. Her statement that Union will decrease its dividend from $2 to $1 a share is a prediction, not a fact; therefore, it should be distinguished clearly as an opinion.

(Module 20.7, LOS 20: V(B))

Question #3 of 33

Question ID: 1675750

Wes Smith, CFA, works for Advisors, Inc. To remain in compliance with Standard V(A): Diligence and Reasonable Basis, Smith may recommend a security in which of the following situations?

A) The research department at Advisors, Inc., recommends a stock.

B) Smith reads a favorable review of the security in a widely read periodical.

C) Either the research department at Advisors, Inc., recommends a stock or Smith reads a favorable review of the security in a widely read periodical.

Explanation

Smith will be in violation if he acts solely on the basis of what he read in the periodical. Use of information within the firm can be relied upon unless Smith has reason to believe the source lacks a sound basis.

(Module 20.7, LOS 20: V(A))

Question #4 of 33

Question ID: 1675753

Robert Hamilton, a CFA candidate, is preparing a research report on Pets-R-Us for public distribution. Hamilton's preliminary report contains unfavorable earnings forecasts for the next four quarters. As part of his analysis, Hamilton met with Linda Brisson, president of Pets-R-Us, and asked her to review the preliminary report for factual inaccuracies. Brisson revised Hamilton's earnings forecasts so that the quarterly earnings showed an upward trend and resulted in positive earnings by the fourth quarter. Hamilton included the revised earnings figures in his report without further review. Although the final report included the basic characteristics of Pets-R-Us, it emphasized certain areas like projected quarterly earnings, but only briefly touched on others. According to CFA Institute Standards of Professional Conduct on research reports, Hamilton:

A) did not violate the Standard.

B) violated the Standard because he did not thoroughly review and analyze any information provided by Brisson.

C) violated the Standard because the report did not give similar attention to all areas; instead, it emphasized quarterly earnings at the expense of other areas.

Explanation

Standard V(B) permits Hamilton to ask company management to review his report for factual inaccuracies, but Hamilton should have taken care to thoroughly review and analyze any information provided by the company. Hamilton is not required to give equal emphasis to all areas but can emphasize certain areas, touch briefly on others, and omit certain aspects deemed unimportant.

(Module 20.7, LOS 20: V(B))

Question #5 of 33

Question ID: 1675742

An analyst receives a report from his research department that summarizes and interprets a recent speech from the chairman of the U.S. Federal Reserve. The summary says that the chairman thinks inflation is under control. Based upon this summary, the analyst says in his next newsletter that inflation is under control. This is a violation of:

A) Standard V(A): Diligence and Reasonable Basis only.

B) none of the Standards listed here.

C) Standard V(A): Diligence and Reasonable Basis, and Standard V(B): Communication with Clients and Prospective Clients.

Explanation

The analyst should verify that the research department has interpreted the chairman's speech correctly. The analyst must make it clear that the statement concerning inflation is only an opinion. No one knows if that is true or not at any point in time. Based upon the given information, we cannot say that the analyst is violating only one standard. The analyst may also be violating plagiarism in accordance with Standard I(C): Misrepresentation. Hence, the answer citing the two standards and not limiting violations to just those two standards is the best answer.

(Module 20.7, LOS 20: V(A))

Question #6 of 33

Question ID: 1675741

An investment analyst and an investment manager work together in the same office. The investment analyst has found an investment with what appears to be a great return-to-risk ratio. The analyst double checks the data for accuracy, keeps careful records, and is careful to not make any misrepresentations as he simultaneously sends an email to all of his clients with a buy recommendation, given the qualities of the investment. According to Standard V(A): Diligence and Reasonable Basis, the analyst has:

A) fulfilled all obligations.

B) violated the Standard if he does not verify whether the investment is appropriate for all the clients.

C) violated the Standard by communicating the recommendation via email.

Explanation

If the investment analyst had been an investment manager, it would have been inappropriate for him to make a blanket recommendation for all of his clients without considering the unique needs of each. However, the analyst is merely stating that given the qualities of the investment, it is an attractive buy. He has kept adequate records, and made fair disclosure of his rating decision.

(Module 20.7, LOS 20: V(A))

Question #7 of 33

Question ID: 1675762

Nicole Wise, CFA, is an analyst at Chicago Securities. She attends a meeting with management of one of the companies that she covers. During the meeting, management expresses great optimism about the company's recent acquisition of a new business. Wise is excited about these prospects and issues a research report that states that the company is about to achieve significant success with the new acquisition. Wise has:

A) violated CFA Institute Standards of Professional Conduct because she did not check the accuracy of the statements that management made. ✗

B) not violated CFA Institute Standards of Professional Conduct because she had reasonable reason to believe that the statements in her report were true. ✗

C) violated CFA Institute Standards of Professional Conduct because she misrepresented the optimism by turning it to certainty. ✓

Explanation

Regarding Standard V(B): Communication with Clients and Prospective Clients, members must distinguish between fact and opinion in the presentation of a research report or investment recommendation. Wise violated the Standard because she misrepresented management's enthusiasm by turning it into certainty.

(Module 20.7, LOS 20: V(B))

Question #8 of 33

Question ID: 1675755

An analyst who routinely purges the files that support his research and recommendations:

A) may be violating Standard V(C): Record Retention. ✓

B) is acting in accordance to Standard IV(A): Loyalty to Employer. ✗

C) is acting in accordance to Standard III(E): Preservation of Confidentiality. ✗

Explanation

According to Standard V(C), a member must "maintain appropriate records" to support recommendations. Neither of the other choices would apply to this action.

(Module 20.7, LOS 20: V(B))

Question #9 of 33

Question ID: 1675744

In the process of recommending an investment, to comply with Standard V(A): Diligence and Reasonable Basis, a CFA Institute member must:

A) do both of these. ✓

B) have a reasonable and adequate basis for the recommendation. ✗

C) support a recommendation with appropriate research and investigation. ✗

Explanation

Both of these are explicitly required by Standard V(A).

(Module 20.7, LOS 20: V(A))

Question #10 of 33

Question ID: 1675747

An analyst writes a report and includes the forecasts of an econometric model developed by the firm's research department. The analyst identifies the source of the forecast and includes all the relevant statistics concerning the model and his opinion of the model's accuracy. With respect to Standard V(A): Diligence and Reasonable Basis, the analyst has:

A) violated the Standard by not testing the model himself. ✗

B) violated the Standard by including quantitative details in a report. ✗

C) complied with the Standard. ✓

Explanation

Including quantitative details in a report is not a violation of the Standard. The analyst has more of an obligation to give an opinion on the accuracy of the model than withhold such an opinion. Although the analyst should use reasonable care to verify information included in a report, retesting models developed by the research department of a firm is not explicitly required.

(Module 20.7, LOS 20: V(A))

Question #11 of 33

Question ID: 1675745

Susan Plumb is the supervisor of her firm's research department. Her firm has been seeking the mandate to underwrite the proposed secondary stock offering of Wings Industries (Wings). Without mentioning that the firm is seeking the mandate, she asks Jack Dawson to analyze Wings' common stock and prepare a research report. After reasonable effort, Dawson produces a favorable report on Wings stock. After reviewing the report, Plumb then adds a footnote describing the underwriting relationship with Wings and disseminates the report to the firm's clients. According to CFA Institute Standards of Professional Conduct, these actions are:

A) not a violation of any Standard. ✓

B) a violation of Standard VI(A): Disclosure of Conflicts. ✗

C) a violation of Standard V(A): Diligence and Reasonable Basis. ✗

Explanation

The fact that the firm is seeking the mandate does not preclude the research department from performing analytical work on the security. As long as the final recommendation is based upon reasonable facts, not the desire to obtain the mandate, there is no violation.

(Module 20.7, LOS 20: V(A))

Question #12 of 33

Question ID: 1675764

Lee Hurst, CFA, is an equity research analyst who has recently left a large firm to start an independent practice. He is able to re-create several of his previous recommendation reports, based on his clear recollection of supporting documentation he compiled at his previous employer. He publishes the reports and obtains several new clients. Hurst is *most likely*:

A) not in violation of any Standard. ✗

B) in violation of Standard V(A): Diligent and Reasonable Basis. ✗

C) in violation of Standard V(C): Record Retention. ✓

Explanation

Hurst is most likely in violation of Standard V(C): Record Retention because the supporting documentation is unavailable. He needs to re-create the supporting records based on information gathered through public sources or the covered company. He may have a reasonable basis for his recommendations and has been diligent in his analysis, but he must reconstruct the records of this analysis before issuing the reports.

(Module 20.7, LOS 20: V(C))

Question #13 - 18 of 33

Question ID: 1675732

Which of the following pieces of information would Stroh have been able to use to trade upon?

A) IMI withdrawing from partnering in the country. ✗

B) The labor and materials comparative advantage of the country. ✓

C) The plan by APX to partner in the car parts production in the country. ✗

Explanation

All of the pieces of information related to APX purchasing the other company, APX partnering in the car parts industry, and IMI withdrawing from partnering in the country are all insider information; therefore, they cannot be used to trade upon. The only information that can be used is the information pertaining to the labor and materials comparative advantage because this was public information that Stroh could verify based on publicly available statistics.

(Module 20.7, LOS 20: V(A))

Question #14 - 18 of 33

Question ID: 1675733

The statement Stroh made in his recommendation of APX concerning the election of a pro-business chief executive was:

A) appropriate because it was based on information from the public websites of reliable news agencies. ✗

B) not appropriate because of the way it was mentioned in the recommendation. ✓

C) appropriate because it did not relate directly to the firms themselves. ✗

Explanation

According to Standard V(B): Communication with Clients and Prospective Clients, investment analysis and recommendations should clearly differentiate facts from opinions. Although it is a widely held opinion that the pro-business candidate would win, no one can predict the future. None of the other reasons are valid.

(Module 20.7, LOS 20: V(A))

Question #15 - 18 of 33

Question ID: 1675734

With respect to the given information and the sell recommendation of IMI, which of the following statements would not be allowable in the sell recommendation under the Standards?

A) Research indicated IMI was likely to withdraw from any partnership agreements within the country. ✗

B) IMI's executives cannot recognize a good opportunity when they see it. ✓

C) IMI is now abandoning its plan to partner in the country. ✗

Explanation

Stroh has no reasonable basis for saying that IMI's executives cannot recognize a good opportunity when they see it. The CFO of IMI did not give a reason for their not partnering in the country. IMI may have better opportunities elsewhere. Had the CFO said that the statistics concerning comparative advantages were not valid, for example, Stroh might have more of a basis to be critical of the management. The other statements are facts that Stroh can provide adequate support for.

(Module 20.7, LOS 20: V(A))

Question #16 - 18 of 33

Question ID: 1675735

When Stroh answered his friend's question concerning whether the friend should invest in APX, Stroh was in violation of all of the following Standards except:

A) Standard III(B): Fair Dealing. ✗

B) Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program. ✓

C) Standard III(C): Suitability. ✗

Explanation

Standard III(B) indicates that members must deal fairly and objectively with all clients when disseminating recommendations and material changes. Fair dealing requires that members make every effort to treat all clients, whether they are individuals or institutions, in a fair and impartial manner. By essentially making a recommendation to his friend first, Stroh breached the standard because he disadvantaged his clients in favor of his friend. Also, Stroh still had to verify what the friend said about the comparative advantage was true (Standard V(A), Diligence and Reasonable Basis) and that the investment would be appropriate for his friend (Standard III(C): Suitability). Mentioning his training, which included the CFA designation, was not inappropriate.

(Module 20.7, LOS 20: V(A))

Question #17 - 18 of 33

Question ID: 1675736

Stroh attempted to maintain the confidence of his research methods by not revealing them in his report. By doing so, Stroh:

A) may have violated the Standards related to known limitations of his analysis and material misrepresentation by omitting the source of his information and other facts that led to his conclusions. ✓

B) is neither helping nor harming the consumers of his report, as long as he reaches logical conclusions from the information the sources provide.

C) is exercising discretion to maintain a competitive edge.

Explanation

With Standard V(A): Diligence and Reasonable Basis and Standard V(B): Communication with Clients and Prospective Clients, known limitations of the analysis and conclusions should be documented in research reports. Material misrepresentations should also be avoided by including all pertinent information and by distinguishing between opinion and fact in the analysis and conclusions of a report. Stroh may have violated the Standards related to known limitations in his analysis by rushing to provide a recommendation. Stroh felt somewhat unable to perform an analysis given the lack of essential data, but he completed a report where the conclusions are largely driven by information derived from conversations that were not included or referenced in the report. These missing facts may also be construed as material misrepresentation. However, at no time should material nonpublic information be used for, or reported in, recommendations that are produced by Stroh or ECM.

(Module 20.7, LOS 20: V(A))

Question #18 - 18 of 33

Question ID: 1675737

With respect to Stroh's recommendations, the mosaic principle could play a role with respect to the use of which piece of information?

A) The partnering of APX with the government's car parts operations.

B) The purchase of the glass manufacturing company in the country.

C) The comparative advantage of the country in manufacturing.

Explanation

Stroh could not use the information concerning the car parts partnering, the purchase of the glass manufacturing company, or IMI's withdrawal from partnering because some or all of this information was passed on to him via insiders, with the information being material, nonpublic information (and therefore, cannot be traded upon). The mosaic principle could only play a role in the material, public information regarding the comparative advantage of the country.

(Module 20.7, LOS 20: V(A))

Question #19 of 33

Question ID: 1675761

Roger Halpert, CFA, prepares a company research report in which he recommends a strong buy. He has been careful to ensure that his report complies with the CFA Institute Standard on research reports. According to CFA Institute Standards of Professional Conduct, which of the following statements about how Halpert can communicate the report is *most correct*?

A) Halpert can transmit his report by computer on the internet. ✗

B) Halpert can make his report in person. ✗

C) Halpert can make his report in person, by telephone, or by computer on the internet. ✓

Explanation

A report can be made via any means of communication, including in-person recommendation, telephone conversation, media broadcast, and transmission by computer, such as on the internet.

(Module 20.7, LOS 20: V(B))

Question #20 of 33

Question ID: 1675739

The following scenarios refer to recommendations made by two analysts:

- Jean King, CFA, is a quantitative analyst at Quantlogic, Inc. King uses computer-generated screens to differentiate value and growth stocks based on accounting numbers such as sales, cash flow, earnings, and book value. Based on her analysis of all domestically traded stocks in the United States over the past year, King concludes that value stocks as a class have underperformed growth stocks over that period. Using only this analysis, she recommends that account executives at Quantlogic sell all value stocks from the portfolios for which they have discretionary authority to trade and replace these stocks with growth stocks.
- James Capelli, CFA, is a fundamental analyst at Wheaton Capital Management, which focuses on regional stocks. His analysis of Branson Wireless includes the investment's basic characteristics, such as information about historical earnings, ownership of assets, outstanding contracts, and other business factors. In addition to conducting both a general industry analysis and a company financial analysis, Capelli interviews key executives at Branson. Based on his analysis, he concludes that the company's future prospects are strong and issues a buy recommendation.

According to CFA Institute Standards of Professional Conduct, did King and Capelli have a reasonable and adequate basis for making their recommendations?

A) King has a reasonable basis for her recommendation, but Capelli does not. ✗

B) Both King and Capelli have a reasonable basis for their recommendations. ✗

C) Capelli has a reasonable basis for his recommendation, but King does not. ✓

Explanation

Capelli appears to have exercised diligence and thoroughness in making his recommendation. King's recommendation is not based on thorough quantitative work because the period used in her study is only one year. Also, her recommendation does not consider the client's specific needs and circumstances.

(Module 20.7, LOS 20: V(A))

Question #21 of 33

Question ID: 1675749

Several years ago, Hilton and Ross, a full-service investment firm, managed the initial public offering of eCom, Inc. Now, eCom wants Hilton and Ross to underwrite its secondary public offering. A senior manager at Hilton and Ross asks Brent Whitman, CFA, one of its equity analysts, to write a favorable research report on eCom to help make the underwriting a success. Whitman conducts a thorough analysis of eCom and concludes that the company has serious problems that do not suggest a favorable financial outlook. Nevertheless, Whitman writes a favorable report because he is fearful of losing his job. Hilton and Ross publicly distribute a report that only contains a buy recommendation and a brief description of the basic characteristics of eCom. Whitman has violated:

A) Standard I(B): Independence and Objectivity only. ✗

B) Standard V(A): Diligence and Reasonable Basis only. ✗

C) both Standard I(B): Independence and Objectivity and Standard V(A): Diligence and Reasonable Basis. ✓

Explanation

Whitman violated Standard V(A): Diligence and Reasonable Basis because he did not have a reasonable and adequate basis for issuing a favorable recommendation. Whitman violated Standard I(B): Independence and Objectivity because he did not act independently in issuing his recommendation; instead, he was influenced by senior management at Hilton and Ross.

(Module 20.7, LOS 20: V(A))

Question #22 of 33

Question ID: 1675759

Bob Hatfield, CFA, has his own money management firm with two clients. The accounts of the two clients are equal in value. It is Hatfield's opinion that interest rates will fall in the near future. Based upon this, Hatfield begins increasing the bond allocation of each portfolio. To comply with Standard V(B): Communication with Clients and Prospective Clients, the analyst needs to:

A) inform the clients of the change and tell them it is based upon an opinion and not a fact. ✓

B) perform both of these functions. ✗

C) make sure that the change is identical for both clients. ✗

Explanation

According to Standard V(B), the analyst must inform the clients of the change and tell them it is based upon an opinion and not a fact. Making an identical change in two portfolios may be a violation of Standard III(C): Suitability if the needs of the clients are not identical.

(Module 20.7, LOS 20: V(B))

Question #23 of 33

Question ID: 1675756

Joni Black, CFA, works for a portfolio management firm. Black is a partner of the firm and is primarily responsible for managing several large pension plans. Black has just finished a research report in which she recommends Zeta Corporation as a "strong buy." Her rating is based on solid management in a growing and expanding industry. She just handed the report to the marketing department of the firm for immediate dissemination. Upon returning to her desk, she notices a news flash by CNN reporting that management for Zeta Corporation is retiring. Black wishes she did not recommend Zeta Corporation as a strong buy, but she believes the corporation is still a good investment, regardless of the management. What course of action for Black is *best*? Black:

A) should revise the recommendation based on this new information. ✓

B) may send out the report as written as long as a follow-up is disseminated within a reasonable amount of time reflecting the changes in management. ✗

C) should report the new information to her immediate supervisor so that they can determine whether or not the marketing department should send out the report as written. ✗

Explanation

This question is related to Standard V(B), which states that CFA Institute members should use reasonable judgment regarding the inclusion or exclusion of relevant factors in research reports. The change in management was a relevant factor and must be disclosed before dissemination.

(Module 20.7, LOS 20: V(B))

Question #24 of 33

Question ID: 1675760

An analyst finds a stock that has had a low beta given its historical return, but its total risk has been commensurate with its return. When writing a research report about the stock for clients with well-diversified portfolios, according to Standard V(B): Communication with Clients and Prospective Clients, the analyst needs to mention:

A) both the historical beta and total risk and return. ✗

B) the relationship of the historical total risk to return only. ✗

C) the relationship of the historical beta and return only. ✓

Explanation

Using reasonable judgment, an analyst may exclude certain factors from research reports. Because the report will be delivered to clients with well-diversified portfolios, total risk is not as important as beta. Furthermore, given that the total risk has been only commensurate with historical return, then the analyst is not negligent by not mentioning it.

(Module 20.7, LOS 20: V(B))

Question #25 of 33

Question ID: 1675738

A financial analyst and CFA Institute member sends a preliminary research report on a company to his supervisor. The supervisor approves the report, but then the analyst receives news that causes him to revise downward the earnings estimate of the company. The analyst resubmits the report to the supervisor with the new earnings estimate. The analyst soon finds out that the supervisor plans to release the first version of the report with the first earnings estimate without a reasonable and adequate basis. In response to this, the analyst must:

A) both insist that a follow-up report be issued and take up the issue with regulatory authorities. ✗

B) insist that the supervisor change the earnings forecast or remove his (the analyst's) name from the report.

C) only insist that the first report be followed up by a revision.

Explanation

According to Standard V(A): Diligence and Reasonable Basis, the analyst must exercise diligence, independence, and thoroughness when performing investment analysis, making a recommendation, or taking investment action. The analyst should document the difference in opinion, including any request to remove his or her name from the report.

(Module 20.7, LOS 20: V(A))

Question #26 of 33

Question ID: 1675763

According to CFA Institute Standards of Professional Conduct, members are *least likely* required to:

A) distribute a detailed research report to clients with any recommendation.

B) analyze the investment's basic characteristics before recommending a specific investment to a broad client group.

C) make diligent efforts to determine whether third-party research relied on is sound.

Explanation

Recommendations can be made in various contexts. For example, an analyst's firm may issue a list of buy recommendations or a brief recommendation that does not contain all the relevant details of the analysis, but clients must be informed that a full analysis supporting the recommendation is available. The other actions are required by the Standards.

(Module 20.7, LOS 20: V(C))

Question #27 of 33

Question ID: 1675740

A client calls his money manager and asks the manager to liquidate a large portion of his assets under management for an emergency. The manager warns the client of the risk of selling many assets quickly but says that he will try to get the client the best possible price. This is a violation of:

A) none of the Standards listed here.

B) Standard V(A): Diligence and Reasonable Basis. ✗

C) Standard III(C): Suitability. ✗

Explanation

The money manager has done his duty. He has warned the client of the risk and made no explicit promises concerning what he can and cannot do.

(Module 20.7, LOS 20: V(A))

Question #28 of 33

Question ID: 1675751

Susan Tigra, CFA, is a portfolio co-manager for the Sandia Energy pension fund. Sandra Bulow, a research analyst under Tigra's supervision, creates a new trading model and immediately begins to trade. Tigra stops Bulow from trading, but notes that the firm has no guidelines for testing new models. Tigra should *most likely*:

A) report Bulow to the firm's compliance department for violation of Standard V(A): Diligence and Reasonable Basis. ✗

B) encourage her firm to develop detailed, written guidance that establishes minimum levels of testing for all computer-based models as required by Standard III(C): Suitability. ✗

C) encourage her firm to develop detailed, written guidance that establishes minimum levels of testing for all computer-based models as recommended by Standard V(A): Diligence and Reasonable Basis. ✓

Explanation

Tigra should encourage her firm to develop detailed, written guidance that establishes minimum levels of testing for all computer-based models as recommended by Standard V(A): Diligence and Reasonable Basis. Reporting Bulow to the compliance department would be of limited usefulness, as she has already established that the firm does not have rules discouraging this behavior.

(Module 20.7, LOS 20: V(A))

Question #29 of 33

Question ID: 1675743

Peggy Green, CFA, is a research analyst following Brown Co. All the information she has gathered suggests the stock should be rated a weak "hold." During a recent lunch, Green overheard another analyst say that the stock should be rated a "buy." Green returns to her office and issues a buy recommendation. Green violated CFA Institute Standards of Professional Conduct because she:

A) did not have a reasonable and adequate basis for making this recommendation. ✓

B) did not seek approval of the change from her firm's compliance director. ✗

C) failed to distinguish between fact and opinion. ✗

Explanation

Analysts are required to have a reasonable and adequate basis, supported by appropriate research and investigation, for their recommendations.

(Module 20.7, LOS 20: V(A))

Question #30 of 33

Question ID: 1675746

An analyst receives a research report from a colleague. The colleague's report has an elaborate table with performance data on publicly traded stocks. The colleague says the data in the table consists of measures provided by Standard & Poor's. The analyst finds the table a useful reference for a report she is writing. She uses several pieces of data from the table. The analyst is potentially in violation of:

A) Standard I(C): Misrepresentation, concerning the use of the work of others. ✗

B) Standard V(A): Diligence and Reasonable Basis, if she does not first verify the data in the table is accurate. ✓

C) no particular Standard because this is appropriate activity. ✗

Explanation

Because the data in the table supposedly comes from Standard & Poor's, a recognized data source, the analyst does not have to cite the source of the data. However, the analyst needs to use reasonable care and verify that the data is accurate by going back to the source. Had the analyst printed the table prepared by her colleague without acknowledgment, the analyst would have violated Standard I(C): Misrepresentation.

(Module 20.7, LOS 20: V(A))

Question #31 of 33

Question ID: 1675752

An analyst finds a stock with historical returns that are not correlated with interest rate changes. The analyst writes a report for his clients that have large allocations in fixed-income instruments and emphasizes the observed lack of correlation. He feels the stock would be of little value to investors whose portfolios are composed primarily of equities. The clients with allocations of fixed-income instruments are the only clients to see the report. According to Standard V(B): Communication with Clients and Prospective Clients, the analyst has:

A) violated the Standard concerning fair dealings with all clients. ✗

B) not violated the Standard. ✓

C) violated the article in the Standard concerning facts and opinions. ✗

Explanation

Recommending a stock whose return is uncorrelated with interest rate changes is appropriate for the clients described in the problem. Emphasizing the lack of correlation is appropriate as long as the analyst makes no guarantees concerning the relationship in the future. Reporting historical correlation is a presentation of fact, and is not in violation. The analyst is free to show the report only to investors for whom the investment is appropriate.

(Module 20.7, LOS 20: V(B))

Question #32 of 33

Question ID: 1675748

An analyst notices that for most years where a given class of assets has an abnormally high rate of return, the asset class often has an abnormally low rate of return the next year. Based upon this information, according to Standard V(A): Diligence and Reasonable Basis, the analyst can recommend:

A) an increased allocation of Treasury bills (T-bills) for all portfolios of assets that have increased dramatically in the previous year. ✗

B) short selling assets that have had a good previous year to all clients. ✗

C) neither of these choices. ✓

Explanation

An analyst should not make a recommendation based only upon a statistical anomaly. Furthermore, none of the other choices would be appropriate. Clients with low risk tolerance should not short sell assets. The analyst cannot make a recommendation to all clients because each client has different characteristics and portfolios. The one answer that may have some merit is to increase the allocation of T-bills in portfolios that have had recent, dramatic increases. This would be for the purposes of maintaining a balanced portfolio. However, the decision to rebalance must be made on a case-by-case basis and not for all portfolios.

(Module 20.7, LOS 20: V(A))

Question #33 of 33

Question ID: 1675758

An analyst has several groups of clients who are categorized according to their specific needs. Compared to research reports distributed to all of the clients, reports for a specific group:

A) will not be allowed because it violates Standard III(B): Fair Dealing. ✗

B) may generally exclude more basic facts. ✓

C) will definitely include more basic facts. ✗

Explanation

According to Standard V(B), an analyst can use reasonable judgment regarding the exclusion of some facts and should include more basic facts for reports to wider audiences. The key issue is that analysts should tailor their reports to the intended audience.

(Module 20.7, LOS 20: V(B))